Buying demand puts a crimp on the downward slide, and price moves up but only for a week. The following week, price moves lower. Again, volume spikes as the stock makes a new low, and this becomes the head. The smart money is accumulating the stock in anticipation of an eventual rise or a change in the fundamentals. The stock moves up on receding volume, then retreats and forms the right shoulder.

Volume on the three valleys is diminishing. The left shoulder has very high volume, the head exhibits somewhat less volume, and the right shoulder records the lowest volume of the three valleys. Only after price starts moving up from the right shoulder does volume spike upward.

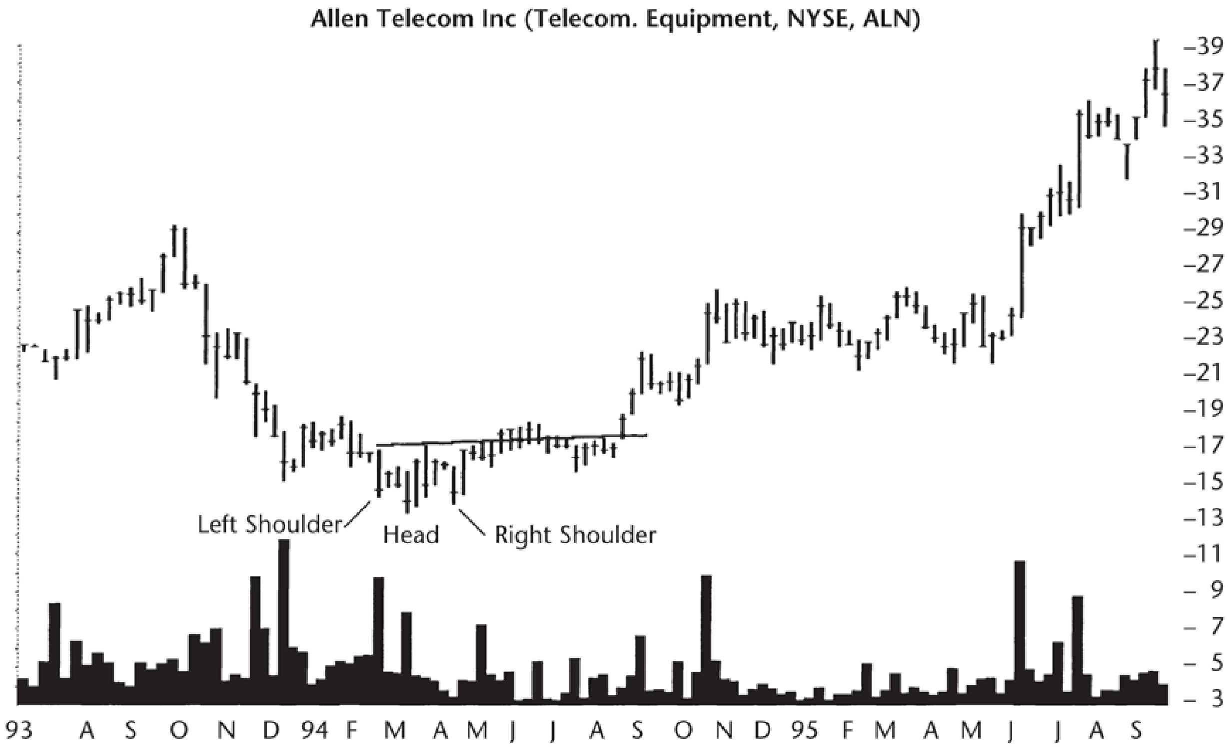

Figure 39.2 Head-and-shoulders bottom pattern on a weekly time scale. It takes several months before this head-and-shoulders bottom stages an upward breakout.

Breakout volume is unconvincing. In late August 1994, price moves decidedly above the neckline and stages a definitive breakout. Even so, it is not until 2 weeks later that volume advances noticeably.